

Fall 2022 Development economic

ECON 322

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(Economics community of the affiliated colleges to university of the Punjab Lahore)

Q.1 Answer the following short questions.

1. Discuss Vicious Circle of Poverty.

The vicious circle of poverty theory posits that poverty perpetuates itself through a self-reinforcing cycle. Key elements include:

- ****Low Income:**

Leads to low savings, limiting investments in education, health, and infrastructure.

- ***Low Productivity:**

Resulting from lack of investment, poor education, and health.

- **Low Economic Growth:**

Stems from low productivity and investment, reinforcing the cycle of poverty.

***Example:**

In his book, Todaro cites the case of Sub-Saharan African countries where low agricultural productivity, inadequate education, and poor health services create a continuous cycle of poverty.

2. Discuss Complementarities Between Agriculture and Industry.

Complementarities between agriculture and industry are crucial for balanced economic development. Key aspects include:

- **Input Supply:**

Agriculture provides raw materials to industries (e.g., cotton to textiles).

- **Market for Goods:**

Agricultural sector serves as a market for industrial products (e.g., fertilizers, machinery).

- Income and Demand Linkage

Higher agricultural productivity increases farmers' incomes, which boosts demand for industrial goods.

Example:

Todaro discusses the Green Revolution in Asia, where improvements in agricultural productivity led to increased incomes for farmers, who then demanded more industrial goods, fostering industrial growth.

3. Explain Concept of Dualism.

Dualism in development economics refers to the coexistence of two distinct economic and social systems within a country:

- Technological Dualism:

Presence of advanced technology in one sector (often urban/industrial) and primitive technology in another (often rural/agricultural).

- Social Dualism

Significant disparities in income, living standards, and opportunities between different groups.

- Economic Dualism:

Coexistence of a modern, dynamic sector and a traditional, stagnant sector.

Example:

Todaro highlights Brazil, where the advanced industrial sector in urban areas contrasts sharply with the traditional agricultural practices in rural regions.

4. Discuss Any Two Measurements of Economic Development.

- Gross Domestic Product (GDP) Per Capita:

Measures the average economic output per person, indicating the standard of living.

- Human Development Index (HDI):

A composite index including life expectancy, education, and per capita income, providing a broader perspective on human well-being.

Example:

Todaro uses the comparison between countries like Norway (with high GDP per capita and HDI) and Niger (with low GDP per capita and HDI) to illustrate the disparities in development levels.

5. Discuss Measurements of Poverty.

- Absolute Poverty:

Measured by the number of people living below a certain income threshold (e.g., \$1.90 per day).

- Relative Poverty:

Defined in relation to the average income or consumption level of a society, focusing on inequality.

- Multidimensional Poverty Index (MPI):

Considers various deprivations (e.g., health, education, living standards) that individuals face simultaneously.

Example:

Todaro references India, where despite economic growth, a significant portion of the population lives below the absolute poverty line, and many face multidimensional poverty.

6. What Do You Mean by Demographic Transition?

Demographic transition refers to the shift from high birth and death rates to low birth and death rates as a country develops. It occurs in four stages:

- Pre-Transition:

High birth and death rates, slow population growth.

- Early Transition:

Death rates decline due to improvements in healthcare, while birth rates remain high, leading to rapid population growth.

- Late Transition:

Birth rates start to decline, reducing the rate of population growth.

- Post-Transition:

Both birth and death rates are low, stabilizing the population.

Example:

Todaro explains how countries like Japan have completed the demographic transition, resulting in an aging population and low population growth rates.

Q.2 Answer the following questions.

1. What is Debt Overhang Hypothesis? Discuss Causes of Third World Debt Crises.

Debt Overhang Hypothesis:

The debt overhang hypothesis suggests that when a country's debt level is perceived to be unsustainable, the expected debt servicing will exceed the country's repayment capacity. This discourages investment as investors fear that returns will be used to service existing debt rather than for profitable ventures. Key points include:

- High Debt Levels:

Lead to lower incentives for investment.

- Debt Servicing:

Consumes a significant portion of government revenue, reducing funds available for development projects.

- Economic Stagnation:

Persistent debt burden hinders economic growth and development.

Causes of Third World Debt Crises:

- Oil Price Shocks:

The 1970s oil crises led to increased borrowing by developing countries to finance oil imports and stabilize their economies.

- High-Interest Rates:

The rise in global interest rates in the 1980s increased the cost of borrowing, exacerbating debt burdens.

- Mismanagement and Corruption:

Inefficient use of borrowed funds, often diverted to unproductive projects or lost to corruption, failing to generate adequate returns.

- Export Earnings Volatility:

Dependence on a narrow range of exports, which are subject to price fluctuations, leading to unstable foreign exchange earnings.

- Structural Adjustment Programs:

Imposed by international financial institutions often led to austerity measures that strained economies further.

Examples:

- Latin American Debt Crisis (1980s):

Triggered by a combination of rising oil prices, increased borrowing, and falling commodity prices.

- African Debt Crisis:

Characterized by heavy borrowing for infrastructure projects that did not yield expected economic returns.

2. Discuss Market-Friendly Approach to Development.

***Introduction:**

The market-friendly approach, advocated by international institutions like the World Bank, emphasizes the role of markets in driving economic development. It suggests that governments should create an enabling environment for markets to function efficiently rather than direct interventions.

Key Components:

- Macroeconomic Stability:

Maintaining low inflation, fiscal discipline, and stable exchange rates to create a predictable economic environment.

- *Liberalization:

Reducing barriers to trade and investment, deregulating markets, and promoting competition to enhance efficiency and innovation.

- Privatization:

Transferring ownership of state-owned enterprises to the private sector to improve management and productivity.

- Legal and Institutional Framework:

Establishing strong legal institutions to enforce property rights, contracts, and the rule of law, which are essential for market operations.

Examples:

- East Asian Tigers:

Countries like South Korea, Taiwan, and Singapore adopted market-friendly policies, focusing on export-led growth, which resulted in rapid economic development.

- China's Economic Reforms:

Starting in 1978, China implemented market-oriented reforms, leading to unprecedented economic growth and poverty reduction.

3. Critically Examine Rostow's Stages of Economic Growth.

Introduction:

Walt Rostow's model outlines a linear path of development through five stages, suggesting that countries pass through these stages as they develop.

Stages of Economic Growth:

- Traditional Society:

Characterized by subsistence agriculture, limited technology, and static social structures.

- Preconditions for Take-off:

Initiation of progressive leadership, investment in infrastructure, and development of a more productive agriculture sector.

- Take-off:

Rapid growth in a limited number of sectors, leading to sustained economic expansion and structural transformation.

- Drive to Maturity:

Diversification of the economy, technological advancement, and improved infrastructure.

- Age of High Mass Consumption:

Shift from industrial production to services, higher living standards, and increased consumer goods availability.

Critical Evaluation:

- Simplistic and Linear:

Rostow's model is criticized for oversimplifying the development process and assuming that all countries follow the same path.

- Historical Context:

The model is based on the experiences of Western countries and may not be applicable to all developing countries with different socio-economic contexts.

- Neglect of Institutional Factors:

It underestimates the role of political, social, and institutional factors in influencing development.

- Ignores External Influences:

Overlooks the impact of global economic forces, trade policies, and international relations on a country's development path.

Examples:

- South Korea:

Successfully transitioned through Rostow's stages, driven by strategic government policies and investments in education and technology.

- India:

Exhibits a non-linear development path with simultaneous progress in different sectors, challenging the sequential nature of Rostow's model.

For more info

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